

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Calendar Lines # 3</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>Case Name</b> Robert Schraner et al vs Satvir Singh et al                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>Case No.</b> 24CV434462                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| <b>Motion for Terminating, Evidentiary, and/or Monetary Sanctions</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| <p><b>I. <u>BACKGROUND</u></b></p> <p><b>A. BRIEF FACTUAL BACKGROUND</b></p> <p>On This case stems from a multi-vehicle truck versus motor vehicle accident that occurred on May 9, 2022 on southbound Interstate-880 in San Jose, California. At the time of the incident, Defendant Satvir Singh was driving a 2017 Freightliner Cascadia tractor and trailer. Plaintiffs were drivers and/or passengers in one of the vehicles involved in the accident.</p> <p><b>B. RELEVANT PROCEDURAL BACKGROUND</b></p> <p>Two separate Complaints were filed against Defendants Satvir Singh and Golden Bird Inc. On October 11, 2024, parties stipulated to consolidating the pending cases: <i>Robert Scraner, Kha Le, and Seth Hofman vs. Satvir Singh, Gold Bird Inc., and Does 1 through 10</i> (Santa Clara County Case No.: 24CV434462) and <i>Edgar Nunez and Adrian Villalobos</i> (Santa Clara County Case No.: 24CV438580), which the Honorable Shella Deen granted on October 3, 2024. Santa Clara County Case No. was designated the lead case: 24CV434462.</p> <p>On March 25, 2025, Defendants filed a prior motion to compel Plaintiff's responses to written discovery. The Honorable Deen awarded sanctions against the plaintiff in the amount of \$670.50 that was to be paid within 10 days of service of the court's tentative ruling. Defendants state that the plaintiff failed to abide by the court order. Further, Honorable Deen addressed the Order to Show Cause for failure to appear by plaintiffs Edgar Nunez and Adrian Villalobos and their attorney Joseph Duc Dang and dismissed Plaintiff Edgar Nunez and Adrian Villalobos's Complaint without prejudice (Case No. 24CV438580 only). On September 25, 2025, Plaintiffs Edgar Nunez and Adrian Villalobos filed a motion to set aside the dismissal under Code of Civil Procedure section 473(b), which this Court heard on January 27, 2026 and granted.</p> <p>On March 24, 2026, Defendants Satvir Singh and Golden Bird Inc. filed a motion for terminating, evidentiary (precluding plaintiff from offering any evidence of injuries at trial), and/or monetary sanctions in the amount of \$1,290.00 against Plaintiffs Edgar Nunez and Adrian Villalobos (Case No. 24CV438580 only) for engaging in a continued and pervasive misuse of discovery process. Defense emphasizes that trial is set for January 4, 2027 and the defendants will be significantly prejudiced should this matter proceed without requested sanctions. (Plaintiff's motion, p. 2). The motion was accompanied by a proof of service indicating electronic mail and mail service on that same day.</p> <p>The motion is unopposed. Per Code of Civil Procedure section 1005(b) opposition papers were due on May 29, 2026. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (<i>Laguna Auto Body v. Farmers Ins. Exchange</i> (1991) 231 Cal.App.3d 481, 489).</p> <p>The Court carefully reviewed the following: Defendants' notice of motion and memorandum of points and authorities (totaling 9 pages); the Declaration of Darren W. Epps in support of Defendants' motion and attached Exhibits A-D (totaling 18 pages); proof of services; and the pleadings.</p> <p>//</p> |

## **II. LEGAL STANDARD**

Pursuant to Code of Civil Procedure section 2023.030, subdivisions (a) through (e), the court is authorized, after notice and an opportunity for hearing, to impose the following sanctions against anyone engaging in conduct that is a misuse of the discovery process: monetary sanctions, issue sanctions, evidence sanctions, terminating sanctions, and contempt. Code of Civil Procedure, section 2023.010, subdivision (g) provide that a misuse of the discovery process includes evasive responses to discovery. (Code Civ. Proc. § 2023.010(f)). “It is mandatory that the court impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) on the party or attorney, or both, whose failure to serve a timely response to requests for admission necessitated this motion [to deem admitted the truth of the matters specified in the requests for admission].” (Code Civ. Proc., § 2033.280, subd. (c)).

“The discovery statutes evince an incremental approach to discovery sanctions, starting with monetary sanctions and ending with the ultimate sanction of termination. [Citation.]” (*Doppes v. Bentley Motors, Inc.* (2009) 174 Cal.App.4th 967, 992; *J.W. v. Watchtower Bible and Tract Society of New York, Inc.* (2018) 29 Cal.App.5th 1142, 1169). If a lesser sanction fails to curb misuse, a greater sanction is warranted. (*Doppes, supra*, 174 Cal.App.4th at p. 992). “Discovery sanctions ‘should be appropriate to the dereliction, and should not exceed what is required to protect the interests of the party entitled to but denied discovery.’” (*Id.*).

“But where a violation is willful, preceded by a history of abuse, and the evidence shows that less severe sanctions would not produce compliance with the discovery rules, the trial court is justified in imposing the ultimate sanction.” (*Id.*, quoting *Mileikowsky v. Tenet Healthsystem* (2005) 128 Cal.App.4th 262, 279–280); *Creed-21 v. City of Wildomar* (2017) 18 Cal.App.5th 690, 702, quoting *Doppes* and *Mileikowsky*). The court should consider the totality of the circumstances, including conduct of the party to determine if the actions were willful, the detriment to the propounding party, and the number of formal and informal attempts to obtain discovery. (*Lang v. Hochman* (2000) 77 Cal.App.4th 1225, 1246).

Pursuant to Code of Civil Procedure section 2023.010, “the court shall impose a monetary sanction. . . against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel further response to a demand, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.” (Code of Civ. Proc. §§ 2023.010 and 2031.300).

## **III. ANALYSIS**

Here, Defendants Satvir Singh and Golden Bird Inc. assert that Plaintiffs Edgar Nunez and Adrian Villalobos have engaged in continuous and pervasive misuse of the discovery process by failing to respond to discovery. Defendant avers that the Plaintiffs Nunez and Villalobos failed to pay the \$670.50 of sanctions ordered by Judge Deen on March 25, 2025 after finding that the said plaintiffs failed to provide discovery responses to Form Interrogatories, set one, and Demand for Production, set one. (Declaration of Epps. P. 2; Exhibit A). Defendants sent a further meet and confer correspondence on January 27, 2026 regarding the outstanding discovery and payment of sanctions that were ordered by the court (*Id.*; Exhibit D). Defendants asserts that the plaintiff has failed to provide discovery responses or the sanctions that were ordered and continue to engage in ongoing tactics. (Plaintiff’s Motion, at p. 4). Defendants assert that the January 4, 2027 trial date is upcoming and the defendants will suffer significant prejudice should the matter proceed without he requested sanctions. (*Id.*, at p. 2).

The Defendants seeks terminating, evidentiary (precluding plaintiff from offering any evidence of injuries at trial), and/or monetary sanctions in the amount of \$1,290.00 against Plaintiff Edgar Nunez and Adrian Villalobos (Case No. 24CV438580 only) for engaging in a continued and pervasive misuse of discovery process. (*Id.*, at p. 7). Defendants counsel seeks six hours of time at the hourly rate of \$205.00 as well as \$60.00 in cost for filing fees associated with this motion. (*Id.*; Declaration of Epps).

The Court also notes that on March 25, 2025 after an order to show cause hearing, Judge Deen dismissed Plaintiffs Nunez and Villalobos Complaint (Case No. 24CV438580 only) for failure to appear by the said plaintiff and their attorney of record Joseph Duc Dang. Plaintiffs Nunez and Villalobos filed a motion to set aside the dismissal, which this Court heard on January 25, 2026 and granted after finding mandatory relief was warranted based on the Declaration of attorney Joseph Duc Dang admitting fault for the prior failures to appear and his inadvertence, and negligence pursuant to Code of Civil Procedure section 473(b).

The motion is unopposed. Per Code of Civil Procedure section 1005(b) opposition papers were due on May 29, 2026. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

The Court finds that the Defendants have met its burden of showing that the plaintiff has not complied with the court orders and discovery. Thus, the Court finds that monetary sanctions are appropriate given Plaintiffs Nunez and Villalobos refusal to comply with court ordered discovery regarding responses to Form Interrogatories, set one, and Demand for Production, set one and failure to pay the \$670.50 in sanctions that was imposed by Judge Deen on March 25, 2025. The responses and payment of sanctions were due within ten days of that ruling. It has been more than a year since that order and no responses or sanctions were paid. This is undue delay. Trial is set in seven months and failure to provide discovery may result in terminating or evidentiary sanctions. The court notes that discovery statutes evidence an incremental approach regarding evidentiary and monetary sanctions. (*Doppes, supra*, 174 Cal.App.4th at 992). The Court takes into consideration the totality of the circumstances and attempts to curb noncompliance while attempting to impose less severe sanctions to produce compliance. (*Mileikowsky, supra*, Cal.App.4th at 279–280).

Accordingly, at this time the Court will decline to impose terminating or evidentiary sanctions. The Court will award the full amount of monetary sanctions requested by the Defendants as reasonable and warranted in an amount of \$1,290.00 in addition to the March 25, 2025 ordered amount of \$670.50. However, Plaintiffs Nunez and Villalobos are admonished to comply with Court orders and discovery process, further refusal to comply with either may result in evidentiary or terminating sanctions.

#### **IV. CONCLUSION**

Based on the foregoing, and the motion being unopposed, the motion for terminating and evidentiary sanctions is DENIED without prejudice at this time. The motion for monetary sanctions in the amount of \$1,290.00 in favor of Defendants Satvir Singh and Golden Bird Inc. and against Plaintiffs Edgar Nunez and Adrian Villalobos is GRANTED.

Plaintiffs Edgar Nunez and Adrian Villalobos are ORDERED to Comply with discovery responses ordered on March 25, 2025 and provide response within 10 days of this hearing.

Plaintiffs Edgar Nunez and Adrian Villalobos are ORDERED to pay the \$1,290.00 in sanctions as well as the \$670.50 prior court ordered sanction on March 25, 2025 to be paid within 10 court days of this hearing.

The Court will prepare the formal Order.

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Calendar Lines # 4</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| <b>Case Name</b> Sabina Hall vs UDream Builders, Inc.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Case No.</b> 24CV435287                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <p><b>Motion to Set Aside Default Judgment</b></p> <p><b><u>I. BACKGROUND</u></b></p> <p>On March 13, 2025, the Honorable Daniel Nishigaya authorized a default judgment in favor of Plaintiff Sabina Hall (“Hall”) and against Defendant UDream Builders, Inc. (“UDream”) in the amount of \$273,808.47 comprised of (\$212,380.00 in damages; \$55,801.00 in prejudgment interest at 10%; \$4,982.37 in attorney’s fees; and \$645.10 in costs). A Notice of Entry of Judgment was then filed on August 11, 2025.</p> <p>On December 8, 2025, Defendant UDream filed this motion to set aside default judgment under Code of Civil Procedure sections 473 (b) &amp; (d) and 473.5(a) and (b), 415.20 and 418.10. (Defendant’s Motion, p. 2). Defendant challenges the substituted service on UDREAM as invalid as a matter of fact and law. (<i>Id.</i>). Specifically, Defendant avers that the plaintiff’s substituted service on Sandra Contreras on April 16, 2024 was improper as she was an unauthorized person to receive service. (<i>Id.</i>, at p. 3). Defendant also contends that documents were not mailed to its 3200 Canoga Ave., #111, Woodland Hills, California 91367 address (<i>Id.</i>, at p. 3-4). Defendant argues that the plaintiff obtained the judgment by fraud. (<i>Id.</i>, at p. 4).</p> <p>Plaintiff Hall filed opposition papers on May 26, 2026. Plaintiff repudiates the defendant’s allegations that service was not proper under Code of Civil Procedure section 415.20. Plaintiff asserts that personal delivery to a competent adult was effected at UDREAM’s usual place of business; mail service was confirmed; and photographic evidence of the individual accepting service. “Moreover, UDREAM’s principal called Plaintiff’s counsel after service, leaving a voicemail acknowledging receipt of the summons and complaint.” (Plaintiff’s Opposition, p. 1-2; Declaration of Porumbescu, Exhibits B-E). Plaintiff asserts that UDREAM makes false assertions and seeks to have the motion denied. (<i>Id.</i>).</p> <p>Defendant UDream filed a reply brief on June 1, 2026, and avers that the plaintiff has not demonstrated that she will be prejudiced by setting aside the default. (Defendant’s Reply brief, p. 2). Defendants avers that the law favors deciding cases on the merits. (<i>Id.</i>, at p. 2-3).</p> <p>The Court carefully reviewed the following: Defendant’s notice motion; memorandum of points and authorities in support of the motion; Declaration of Hen Galamidi in support of Defendant’s motion; Declaration of Gary N. Swartz and attached Exhibits A-D (totaling 41 pages); Plaintiff Hall’s opposition papers (totaling 5 pages); Declaration of Sabrina Hall in opposition and attached Exhibits A-D (totaling 5 pages); Declaration of Michelle Porumbescu in opposition and attached Exhibits A- E (totaling 15 pages); Plaintiff’s objection to evidence (totaling 4 pages); Plaintiff’s Request of Judicial Notice (totaling 146 pages); Defendant’s Reply brief (totaling 5 pages); proof of services; and the pleadings.</p> <p><b><u>II. LEGAL STANDARD</u></b></p> <p><b>A. CODE OF CIVIL PROCEDURE SECTION 473(B)</b></p> <p>Code of Civil Procedure section § 473(b) provides for both discretionary and mandatory relief. In terms of discretionary relief section 473(b), in pertinent part, reads as follows:</p> <p style="padding-left: 40px;">The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy</p> |

of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken. . .

The mandatory provision of section 473(b) reads, in pertinent part, as follows:

Notwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect, vacate any (1) resulting default entered by the clerk against his or her client, and which will result in entry of a default judgment, or (2) resulting default judgment or dismissal entered against his or her client, unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect.

The general underlying purpose is to promote the determination of actions on their merits. (*Even Zohar Construction & Remodeling, Inc. v. Bellaire Townhouses, LLC* (2015) 61 Cal.4th 830). Under this statute, an application for relief must be made no more than six months after entry of the judgment, dismissal, order, or other proceeding from which relief is sought and must be accompanied by an affidavit of fault attesting to the mistake, inadvertence, surprise or neglect of the moving party or its attorney. (Code of Civ. Proc., § 473(b); *English v. IKON Business Solutions* (2001) 94 Cal.App.4th 130, 143).

#### **B. CODE OF CIVIL PROCEDURE 473.5**

Code of Civil Procedure section 473.5(a) provides: "When service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against him or her in the action, he or she may serve and file a notice of motion to set aside the default or default judgment and for leave to defend the action. The notice of motion shall be served and filed within a reasonable time, but in no event exceeding the earlier of: (i) two years after entry of a default judgment against him or her; or (ii) 180 days after service on him or her of a written notice that the default or default judgment has been entered."

"[A]ctual notice in section 473.5 means genuine knowledge of the party litigant...[A]ctual knowledge has been strictly construed, with the aim of implementing the policy of liberally granting relief so that cases may be resolved on their merits.'" (*Ellard v. Conway* (2001) 94 Cal.App.4th 540, 547 [Citations Omitted]).

"[A] party can make a motion showing a lack of actual notice not caused by avoidance of service or inexcusable neglect . . ." (*Trackman v. Kenney* (2010) 187 Cal. App. 4th 175, 180). "[I]t does not require a showing that plaintiff did anything improper...[T]he defaulting defendant simply asserts that he or she did not have actual notice.'" (*Id.*).

#### **C. CODE OF CIVIL PROCEDURE SECTION 473D**

Under Code of Civil Procedure section 473(d), "[t]he court may, upon motion of the injured party, or its own motion, correct clerical mistakes in its judgment or orders as entered, so as to conform to the judgment or order directed, and may, on motion of either party after notice to the other party, set aside any void judgment or order."

#### **D. CODE OF CIVIL PROCEDURE 415.20**

Code Civ. Proc. section 415.20 provides that "[i]f a copy of the summons and complaint cannot with reasonable diligence be personally delivered to the person to be served . . . a summons may be served by leaving a copy of the summons and complaint at the person's dwelling house, usual place of abode, usual place of business, or usual mailing address . . . in the presence of a competent member of the household . . . at least 18 years of age, who shall be informed of the contents thereof, and by thereafter mailing a copy of the summons and of the complaint by first-class mail...to the

person to be served at the place where a copy of the summons and complaint were left . . .” (Code Civ. Proc., § 415.20(b)). Service of a summons in this matter is deemed complete on the tenth day after the mailing. (*Id.*).

### **E. CODE OF CIVIL PROCEDURE SECTION 418.10**

Code of Civil Procedure section 418.10 provides in part: “A defendant, on or before the last day of his or her time to plead or within any further time that the court may for good cause allow, may serve and file a notice of motion. . . (1) To quash service of summons on the ground of lack of jurisdiction of the court over him or her.” (Code Civ. Proc., § 418.10, subd. (a)).

## **III. ANALYSIS**

### **A. REQUEST FOR JUDICIAL NOTICE AND EVIDENTIARY OBJECTION**

Plaintiff’s request for judicial notice in support of the plaintiff’s opposition to defendant’s motion to vacate the default judgment as to request No. 5, the March 13, 2025 judgement and No. 6 August 11, 2025, Notice of Entry of Judgment is GRANTED. The remainder of the plaintiff’s request for judicial notice is DENIED as unnecessary and lacking foundation or hearsay, in which the Court cannot take the truth of the matter offered. (See *Duarte v. Pacific Specialty Insurance Company* (2017) 13 Cal.App.5th 45, 51, fn. 6—denying request where judicial notice is not necessary, helpful or relevant).

### **B. MOTION TO VACATE DEFAULT JUDGMENT**

Here, Defendant UDream seeks to set aside default judgment and challenges service. (Defendant’s Motion, at p. 2). the substituted service on UDREAM as invalid as a matter of fact and law. (*Id.*). Specifically, Defendant avers that the plaintiff’s substituted service on Sandra Contreras on April 16, 2024 was improper as she was an unauthorized person to receive service. (*Id.*, at p. 3). Defendant also asserts having knowledge on the identity of Sandra Contreras. (Declaration of Galamidi, p. 13). Defendant asserts that Ms. Contreras is an individual unaffiliated with the defendant. (Defendant’s Motion, at p. 4). Thus, Defendant asserts that the defendant lacked proper notice of the lawsuit. (*Id.*, at p. 6). Defendant also contends that documents were not mailed to its 3200 Canoga Ave., #111, Woodland Hills, California 91367 address (*Id.*, at p. 3-4; Declaration of Galamidi, at p. 13). Defendant argues that the plaintiff obtained the judgment by fraud. (*Id.*, at p. 4). Defendant asserts learning about the Complaint in October 2025 when Guy Samibur notified Mr. Galamidi. (Declaration of Galamidi, at p. 13). Upon this discovery, Mr. Galamidi contacted his attorney. Mr. Galamidi denies ever receiving a copy of the Summons, Complaint, or Judgment via mail service. (*Id.*, at p. 14). Defense counsel attests learning about the Complaint on or around November 4, 2025 and thereafter worked diligently to file this motion. (Declaration of Schwartz, p. 15).

Defendant asserts that it suffers prejudice and seeks to have the matter litigated on the merits. Defendants asserts a multitude of defenses denying the breach of contract, attacks the treble damages claim as not supported by facts, and provides a copy of a proposed Answer to Plaintiff Hall’s Complaint. (*Id.*, at p. 9; Exhibit F). Defendant seeks to relief through this motion so that it may litigate the case on its merits. (*Id.*). Defendant asserts that it has met its burden of showing that it was not aware of the service of the Complaint, until the plaintiff moved to levy the Kohen’s bank account. (*Id.*, at p. 10). Defendant asserts that it will be prejudiced if it is deprived of its ability to litigate the matter on the merits. On the other hand, Defendant argues that the plaintiff will not be prejudiced by setting aside the default judgment as it is constituent with California policy that favors deciding cases on their merits. (*Id.*).

Plaintiff repudiates the defendant’s allegations that service was not proper under Code of Civil Procedure section 415.20. Plaintiff asserts that personal delivery to a competent adult was effected at UDREAM’s usual place of business; mail service was confirmed; and photographic evidence of the individual accepting service. “Moreover, UDREAM’s principal called Plaintiff’s counsel after service, leaving a voicemail acknowledging receipt of the summons and complaint.” (Plaintiff’s Opposition, p. 1-2; Declaration of Porumbescu, Exhibits B-E). Plaintiff asserts that Defendant makes false assertions and that the motion must be denied. (*Id.*).

Plaintiff Hall also opposes the motion on the ground that the defendant delayed to take actions for month. (Plaintiff's Opposition, p. 3). Plaintiff asserts that notice was served in April 2024 ; default entered on November 26, 2024, Judgment entered on March 13, 2025, and a notice of entry was served on August 11, 2025. (*Id.*). Plaintiff asserts that it will be prejudiced if the default judgment is set aside as it has already obtained judgment litigated the default prove-up, incurred substantial cost, and suffered delay caused by the defendant's inactions.

Defendant UDream filed a reply brief on June 1, 2026, and avers that the plaintiff has not demonstrated that she will be prejudiced by setting aside the default. (Defendant's Reply brief, p. 2). Defendants avers that the law favors deciding cases on the merits. (*Id.*, at p. 2-3).

The Court notes that the parties timelines differ based on the disagreement on notice. Plaintiff asserts that notice was proper effective April 2024, while the defendant denies service and discovering the suit only in October and November of 2025. Exhibit C attached to the Declaration of Porumbescu was reviewed by the Court and is identified as a single color photo of an unidentified female who appears to be seated in front of a computer. Plaintiff asserts that this individual is "Sandra Contreras" who was at the UDREAM's place of business and "appeared to be in charge" to argue that service was effectuated. Defendant rejects this and claims that he does not know any Sandra Contrearras, that individuals is unaffiliated with UDREAM and is unauthorized to accept service. (Declaration of Galamidi, p. 13). Plaintiff seeks to offer evidence that Defendant as properly served in April 2024 and in May 2024, called the plaintiff. Plaintiff's counsel submits Exhibit E as an e-mail from her firm with a from address of "[donotreply@aspireansweringservice.com](mailto:donotreply@aspireansweringservice.com)" that under 0000994437 states that a "HEN GALAMIDI" telephone number 8183959428 called multiple times to discuss a case, Sabina Hall. The date offered is Friday May 10, 2024. However, the Court notes that this is not an official business record or certified record. The Court cannot take the substance of the matter for the truth of the matter offered.

Defendant's motion to vacate was filed less than two years since the entry of the default judgment. Thus, the Court finds the request is timely. Defendant asserts that service was not proper and seeks to void the default judgment. Both sides contest the service issue at hand. However, for the purposes of section 473.5, the moving party must simply assert that it did not have actual notice. The plaintiff seeks to show that the defendant makes false assertions regarding service, but presented evidence that the court cannot consider such as an unofficial email snip of an alleged call from Hen Galamidi and a photograph of a female that plaintiff asserts is Sandra Contreras taken by the server. The Court cannot consider the truth of the matter asserted, but for the purposes of the motion, finds that defendant has asserted it did not have actual notice. Both sides accuse the other of false assertions, but neither side has made a showing to establish fraud.

Finally, Defendants seeks to vacate the default judgment based on equity and California policy to litigate the matter on its merits. Even where relief is not authorized by statute, "a trial court generally retains its inherent power to vacate orders on equitable grounds where a party establishes that the judgment or order was void for lack of due process or resulted from extrinsic fraud or mistake." *County of San Diego v. Gorham* (2010) 186 Cal.App.4th 1215, 1228-1229 (citations omitted). "While the grounds for an equitable action to set aside a default judgment are commonly stated as being those of extrinsic fraud or mistake, the terms are given a very broad meaning which tends to encompass all circumstances that deprive an adversary of fair notice of hearing whether or not those circumstances would qualify as fraudulent or mistaken in the strict sense. Thus, a false recital of service although not deliberate is treated as extrinsic fraud or mistake in the context of an equitable action to set aside a default judgment." *Munoz v. Lopez* (1969) 275 Cal.App.2d 178, 181 (citation omitted).

#### **IV. CONCLUSION**

Based on the foregoing, and the motion to set aside the default judgment is GRANTED. The Defendant is to file an Answer within 30 days of this hearing date. The Court will prepare the formal Order.

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Calendar Lines # 5</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Case Name</b> Scalable Labs, Inc. vs Suhail Sehgal.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>Case No.</b> 24CV450817                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
| <p><b>Motion for Order Requiring Advancement of Fees and Expenses</b></p> <p><b>I. <u>BACKGROUND</u></b></p> <p><b>A. BRIEF FACTUAL BACKGROUND</b></p> <p>Plaintiff/Cross-Defendant Scalable Labs, Inc. (“Plaintiff Scalable”) filed a Complaint on November 1, 2024 alleging three causes of actions against Defendant/Cross-Complainant Suhail Sehgal (“Defendant Sehgal”) alleging liability for receipt of prohibited dividends, fraudulent transfer, and declaratory relief. (Original Complaint). On December 13, 2024 the second cause of action for fraudulent transfer was dismissed. On December 20, 2024, Defendant Sehgal filed a cross-complaint against Scalable. On January 23, 2025, the parties stipulated to a first amended complaint and on March 17, 2025 to a second amended complaint.</p> <p>On June 23, 2025, Defendant Sehgal’s motion to advance fees and expenses was heard before the Honorable Shella Deen. Plaintiff Scalable opposed the motion. Judge Deen held that Section 7(d) of the parties’ December 29, 2020 Indemnification Agreement provides:</p> <p style="padding-left: 40px;">"In the event that Indemnitee, pursuant to this Section 7, seeks a judicial adjudication of his rights under, or to recover damages for breach of, this Agreement, or to recover under any directors' and officers' liability insurance policies maintained by the Company, the Company shall pay on his behalf, in advance, any and all expenses (of the types described in the definition of Expenses in Section 13 of this Agreement) actually and reasonably incurred by him in such judicial adjudication, regardless of whether Indemnitee ultimately is determined to be entitled to such indemnification, advancement of expenses or insurance recovery." (June 23, 2025 Order, signed by the Honorable Shella Deen and filed on July 29, 2025).</p> <p>The court denied the motion without prejudice on the grounds that Defendant Sehgal did not present any evidence of any claimed expenses actually incurred by the defendant in seeking such judicial adjudication of his rights under, or to recover breaches of the Indemnification Agreement; reasonable expenses incurred; and time spent in proceeding with seeking adjudication of his rights. (<i>Id.</i>). Given the insufficient information, the Court denied the motion without prejudice, but stated that the court would consider and make a determination upon a future motion.</p> <p><b>B. RELEVANT PROCEDURAL BACKGROUND</b></p> <p>On August 22, 2025, Defendant Sehgal renewed its arguments and filed this motion to advance expenses pursuant to the contractual agreement. Defendant seeks an order to advance fees and expense in the amount of \$33,209.14. (Defendant’s motion, p. 2). The motion was accompanied by a proof of service indicating electronic service on that same day.</p> <p>Plaintiff Scalable opposes the motion and filed opposition papers on June 1, 2026. Plaintiff avers that the request to advance expenses is barred by California Corporations Code section 317; defendant was not sued as Scalable’s Chief Financial Officer; public policy precludes advancement for Defendant’s intentional wrongdoing; an advancement of expenses violates the safe harbor rule as the original cross-complaint was voluntarily dismissed; and that prior to a final adjudication of the claims, advancement of fees and expenses is premature. (Plaintiff’s Opposition, at p. 2). Plaintiff seeks to have the request denied on those grounds, or in the alternative, argues that the alleged costs are excessive and seek a reduction.</p> |

On June 9, 2026, Defendant Sehgal filed a reply brief including a supplemental declaration of John D. Pernick seeking an updated amount of \$45,984.14 based on \$33,209.14 in fees and costs incurred in enforcing Defendant's indemnification and advancement priors prior to this motion and \$13,425.00 for drafting of the motion, reply brief, appearance on the hearing, and filing fees. (Defendant's Reply brief, at p. 8). The Court notes that the sum of those amounts to \$46,634.14. Subsequently, Defendant filed a Declaration in Errata attesting that the paralegal's hourly fee initially stated as \$450.00 was in error and that the paralegal's hourly rate is \$420.00, and that the total sum sought for advancement is \$45,894.14. (Errata Declaration of John D. Pernick, at p. 2).

The Court carefully reviewed the following: Defendant's s notice motion and memorandum of points and authorities in support of the motion (totaling 18 pages); Declaration of Suhail Sehgal and attached Exhibits A-C in support of the moving papers (totaling 48 pages); Declaration of John D. Pernick and attached Exhibits A-K2 in support of the motion (totaling 66 pages); Plaintiff 's Opposition (totaling 10 pages); Defendant's Reply brief (totaling 9 pages); Supplement Declaration of John D. Pernick (totaling 2 pages); Errata Declaration of John D. Pernick (totaling 3 pages); proofs of services; and the pleadings.

## **II. LEGAL STANDARD**

Pursuant to Code of Civil Procedure section 317 (b):

A corporation shall have power to indemnify any person who was or is a party or is threatened to be made a party to any proceeding (other than an action by or in the right of the corporation to procure a judgment in its favor) by reason of the fact that the person is or was an agent of the corporation, against expenses, judgments, fines, settlements, and other amounts actually and reasonably incurred in connection with the proceeding if that person acted in good faith and in a manner the person reasonably believed to be in the best interests of the corporation and, in the case of a criminal proceeding, had no reasonable cause to believe the conduct of the person was unlawful. The termination of any proceeding by judgment, order, settlement, conviction, or upon a plea of nolo contendere or its equivalent shall not, of itself, create a presumption that the person did not act in good faith and in a manner which the person reasonably believed to be in the best interests of the corporation or that the person had reasonable cause to believe that the person's conduct was unlawful.

Section 317 (c) provides:

A corporation shall have power to indemnify any person who was or is a party or is threatened to be made a party to any threatened, pending, or completed action by or in the right of the corporation to procure a judgment in its favor by reason of the fact that the person is or was an agent of the corporation, against expenses actually and reasonably incurred by that person in connection with the defense or settlement of the action if the person acted in good faith, in a manner the person believed to be in the best interests of the corporation and its shareholders. No indemnification shall be made under this subdivision for any of the following:

- (1) In respect of any claim, issue or matter as to which the person shall have been adjudged to be liable to the corporation in the performance of that person's duty to the corporation and its shareholders, unless and only to the extent that the court in which the proceeding is or was pending shall determine upon application that, in view of all the circumstances of the case, the person is fairly and reasonably entitled to indemnity for expenses and then only to the extent that the court shall determine.
- (2) Of amounts paid in settling or otherwise disposing of a pending action without court approval.
- (3) Of expenses incurred in defending a pending action which is settled or otherwise disposed of without court approval.

Section 317 (d) provides:

To the extent that an agent of a corporation has been successful on the merits in defense of any proceeding referred to in subdivision (b) or (c) or in defense of any claim, issue, or matter therein, the agent shall be indemnified against expenses actually and reasonably incurred by the agent in connection therewith.

Section 317(g) provides:

The indemnification authorized by this section shall not be deemed exclusive of any additional rights to indemnification for breach of duty to the corporation and its shareholders while acting in the capacity of a director or officer of the corporation to the extent the additional rights to indemnification are authorized in an article provision adopted pursuant to paragraph (11) of subdivision (a) of Section 204. The indemnification provided by this section for acts, omissions, or transactions while acting in the capacity of, or while serving as, a director or officer of the corporation but not involving breach of duty to the corporation and its shareholders shall not be deemed exclusive of any other rights to which those seeking indemnification may be entitled under any bylaw, agreement, vote of shareholders or disinterested directors, or otherwise, to the extent the additional rights to indemnification are authorized in the articles of the corporation. An article provision authorizing indemnification “in excess of that otherwise permitted by Section 317” or “to the fullest extent permissible under California law” or the substantial equivalent thereof shall be construed to be both a provision for additional indemnification for breach of duty to the corporation and its shareholders as referred to in, and with the limitations required by, paragraph (11) of subdivision (a) of Section 204 and a provision for additional indemnification as referred to in the second sentence of this subdivision. The rights to indemnity hereunder shall continue as to a person who has ceased to be a director, officer, employee, or agent and shall inure to the benefit of the heirs, executors, and administrators of the person. Nothing contained in this section shall affect any right to indemnification to which persons other than the directors and officers may be entitled by contract or otherwise.

### **III. ANALYSIS**

Defendant Sehgal avers that upon learning of the Complaint, defense counsel advised Plaintiff’s counsel of factual and legal deficiencies and advised that the defense would proceed with a motion under Code of Civil Procedure section 128.7 if the complaint was not withdrawn by December 9, 2024. (Declaration of Pernick, at p. 2; Exhibit B). 3). Plaintiff Scalable responded it would dismiss the second cause of action an amended complaint. (*Id.*; Exhibits C-D). Defendant Sehgal asserted that the dismissal of the second cause of action did not address the deficient of the complaint, including that the plaintiff was insolvent in November 2020, and thus estopped from making claims against the defendant. (*Id.*, at p. 3). Parties stipulated to a first amended complaint that did not allege any purported wrongdoing by Defendant Sehgal as CFO, and does not seek recovery of any payments to the defendant made prior to April 2021, four months after he was terminated as CFO. (*Id.*).

Defendant Sehgal also demanded indemnification against the alleged original Complaint based on his actions as Scalable’s Chief Financial Officer (“CFO”) and for advancement of defense expense. (*Id.*; Exhibit E-F). Plaintiff Scalable repudiated the requests for indemnification and advancement of expenses. (*Id.*; Exhibit G). The defense sought another indemnification demand in obtaining favorable results, pursuant to section 1(c) of the Indemnification Agreement after Plaintiff Scalable dismissed its uniform voidable transfers act. (*Id.*; Exhibit H). Defendant avers that the under section 7(d) of the Indemnity Agreement, the plaintiff has an obligation to advance fees and expenses, “regardless of whether Indemnitee ultimately is determined to be entitled to such indemnification, advancement of expenses, or insurance recovery.” (Exhibit B; Declaration of Sehgal; and Defendant’s Motion, p. 16). Defendant asserts to have incurred \$52,704.00 in attorney’s fees and cost to obtain the dismissal of claims relating to Defendant Sehgal’s role as CFO. (Declaration of Pernick, at 4). Thus, Defendant Sehgal sought advancement of attorney’s fees and costs. Defense counsel John D. Pernick attests that his hourly

rate is \$1,150.00; attorney Lauren Thomas rates are \$800.00 per hour; and paralegal are \$420.00.<sup>21</sup> Defense counsel asserts that \$33,209.14 in fees and costs were incurred in enforcing Defendant's indemnification and advancement priors prior to this motion. Defense also estimates \$13,425.00 for drafting a reply brief, appearance for the motion, and filing fees. (Defendant's Reply brief, at p. 8). In total, defense seeks \$45,894.14. Defense argues this amount is reasonable as it successfully defended the defense against Plaintiff Scalable's original complaint that sought recoverin excess of \$3.7 million dollars from the defendant. (Defendant's motion, p. 17). Defense work resulted in the plaintiff dismissing the original complaint that implicated the defendant's services as Scalable's COF and resulted in a reduction that the plaintiff now seeks to recover to under \$800,000.00. (*Id.*). Plaintiff asserts that there has been no duplication of time billed by attorneys. (*Id.*).

Plaintiff Scalable avers that the request to advance expenses is barred by California Corporations Code section 317; defendant was not sued as Scalable's Chief Financial Officer; public policy precludes advancement for Defendant's intentional wrongdoing; an advancement of expenses violates the safe harbor rule as the original cross-complaint was voluntarily dismissed; and that prior to a final adjudication of the claims, advancement of fees and expenses is premature. (Plaintiff's Opposition, at p. 2). Plaintiff asserts that the defendant is not entitled to advancement of expenses because he was not a party to this proceeding as CFO of Scalable, but rather because he received distributions from Scalable at the time the corporation was insolvent. (*Id.*, at p. 6). Thus, the plaintiff challenges whether Defendant meets the prerequisite that the person is or an agent of the corporation. (*Id.*). Plaintiff also asserts that indemnification may violate public policy in cases involving wrongful conduct or conduct involving bad faith. (*Id.*, at p. 7). Plaintiff Scalable argues to the extent the defendant maintains he was sued for intentional misconduct, his claim is barred. (*Id.*). Plaintiff also argues that the request for indemnification is premature as section 7(f) of the Indemnification Agreement states: "Notwithstanding anything in this Agreement to the contrary, no determination as to entitlement to indemnification under this Agreement shall be required to be made prior to the final disposition of the Proceeding." (*Id.*, at p. 8). Plaintiff seeks to have the request denied on those grounds, or in the alternative, argues that the alleged costs are excessive and seek a reduction.

Defendant repudiates the plaintiff's assertion of Corporate Code section 317(d) on the grounds that the defendant has successfully obtained the dismissal of claims alleged against him in the original Complaint relating to his work as Scalable's CFO. (Defendant's motion, at p. 16-17). Defense also avers that the plaintiff's other arguments attacking the merits of the case as irrelevant as to the present motion and underlying obligation that the plaintiff must advance fees under the plain language of section 7(d). (*Id.*, at p. 16).

Plaintiff asserts that Defendant Sehgal's improperly seeks to recover expenses related to his cross-complaint and is prohibited under section 9(c) of the Indemnification Agreement, which provides that "the Company shall not be obligated under this Agreement to make any indemnity ... in connection with any Proceeding or any part of any Proceeding) initiated by Indemnatee ...". (*Id.*, at p. 9). Plaintiff also avers that the hourly rates for the attorneys and paralegal are excessive and not reasonable or customary for the county. Plaintiff asserts that the defendant has not provided a proper basis for how much time was expended on particular claims. (*Id.*). Further, Plaintiff argues that attorney Pernick's work did the bulk drafting of the motion that could have been done by a more junior attorney. (*Id.*). Plaintiff asserts that the defense seeks to recover \$24,704.00 in attorney's fees and \$120.14 costs that were denied in its initial advancement motion, and that there is no basis for awarding attorney's fees and costs for successful motions. (*Id.*).

Upon the Court's review of the Indemnity Agreement and the arguments asserted by the parties, the Court finds that the December 29, 2020 Indemnity Agreement, section 7(d) provides grounds for advancement of expenses actually and reasonably incurred by Defendant Sehgal in seeking judicial adjudication, regardless of whether

---

<sup>21</sup> Paralegal Lara Brostko's hourly rate is \$420.00 and not \$450.00 as initially alleged in moving papers. (Errata Declaration of John D. Pernick, at p. 2).

Indemnitee is ultimately is determined to be entitled to such indemnification, advancement of expenses or insurance recovery. This is consistent with the findings of the prior court order. Here, the court finds that defendant Sehgal has presented evidence of expenses incurred. The Court will award advancement of fees. However, the Court does not find the amount requested to be reasonable, but excessive given the straightforward nature of the second motion on the same grounds, excessive hourly rates of counsel and paralegal that is not in accordance with local rates, and overbilling from December 4, 2024 by Lauren Thomas and from February 18, 2025 by John Pernick. The Court awards the following in expenses: a total of 8.2 hours for John D. Pernick's preparation, drafting the motion, reviewing opposition papers, preparing a reply brief, and anticipating an appearance at the hearing at the hourly rate of \$750.00 per hour; 5.7 hours for Lauren Thomas's research and preparation of the motion at the hourly rate of \$500.00 per hour; 2.9 hours at the hourly rate of \$250.00 per hour for paralegal work; \$29.94 in costs incurred on June 16, 2015 and a \$60 filing fee for this present motion.

#### **IV. CONCLUSION**

Based on the foregoing, the Court GRANTS advancement of fees and costs incurred by Defendant Sehgal. The Court DENIES the total amount requested, but grants advance fees and costs in the amount of \$9,814.94.

The Court will prepare the formal Order.

#### **Calendar Lines # 6**

**Case Name** JPMorgan Chase Bank, N.a. vs Jonathan Cu

**Case No.** 25CV463602

#### **Motion to Set Aside Default Judgment**

##### **I. BACKGROUND**

Plaintiff JPMorgan Chase Bank N.a. filed a complaint seeking damages in the amount of \$5,388.65 against Defendant Jonathan Cu arising from an outstanding credit account. A request for entry of default was granted on June 9, 2025. On that same day, Plaintiff Bank submitted a default packet seeking entry of default in the amount of \$5,388.65 against Defendant Cu. The judgment on default was not authorized and executed. On June 12, 2025, Defendant Cu attempted to file an answer, but received a rejection of filing based on default being granted. Defendant Cu asserts he was not served with the Complaint package by Jose Anaya on April 24, 2025, as indicated in the proof of summons. (Declaration of Cu; Declaration of Sabahat; Exhibit 1). Defendant claims to have learned about Plaintiff's complaint on or around May 23, 2025, and subsequently procured counsel and attempted to file an answer. (Defendant's motion, p. 3). On September 5, 2025, Defendant filed a motion to set aside default judgment, and attached its motion was a proof of service indicating electronic service to Plaintiff's counsel on August 29, 2025.

The motion is unopposed. Per Code of Civil Procedure section 1005(b) opposition papers were due on June 3, 2026. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

The Court carefully reviewed the following: Defendant's s notice motion and memorandum of points and authorities in support of the motion (totaling 7 pages); Declaration of Barzin Barry Sabahat with attached Exhibits 1-3 in support (totaling 18 pages); Declaration of Jonathan Cu and attached Exhibit A (totaling 7 pages); proof of services; and the pleadings.

## **II. LEGAL STANDARD**

### **A. CODE OF CIVIL PROCEDURE SECTION 473(B)**

Code of Civil Procedure section § 473(b) provides for both discretionary and mandatory relief. In terms of discretionary relief section 473(b), in pertinent part, reads as follows:

The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken. . .

The mandatory provision of section 473(b) reads, in pertinent part, as follows:

Notwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect, vacate any (1) resulting default entered by the clerk against his or her client, and which will result in entry of a default judgment, or (2) resulting default judgment or dismissal entered against his or her client, unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect.

The general underlying purpose is to promote the determination of actions on their merits. (*Even Zohar Construction & Remodeling, Inc. v. Bellaire Townhouses, LLC* (2015) 61 Cal.4th 830). Under this statute, an application for relief must be made no more than six months after entry of the judgment, dismissal, order, or other proceeding from which relief is sought and must be accompanied by an affidavit of fault attesting to the mistake, inadvertence, surprise or neglect of the moving party or its attorney. (Code of Civ. Proc., § 473(b); *English v. IKON Business Solutions* (2001) 94 Cal.App.4th 130, 143).

### **B. CODE OF CIVIL PROCEDURE 473.5**

Code of Civil Procedure section 473.5(a) provides: "When service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against him or her in the action, he or she may serve and file a notice of motion to set aside the default or default judgment and for leave to defend the action. The notice of motion shall be served and filed within a reasonable time, but in no event exceeding the earlier of: (i) two years after entry of a default judgment against him or her; or (ii) 180 days after service on him or her of a written notice that the default or default judgment has been entered."

## **III. ANALYSIS**

Here, the Defendant seeks to set aside the basic entry of default that was approved by the court clerk on June 9, 2025. As noted above, Plaintiff Bank filed default packet seeking an entry of judgment in the amount of \$5,388.65 was submitted on June 9, but was not authorized or executed. Defendant Cu repudiates that service was proper on April 24, 2025. (Defendant's Motion, p. 5). "The description of the individual allegedly served with the Summons does not match Defendant Cu's elderly father (5'2 and mid-70s) and Defendant Cu was at work in another city during the time of the alleged service." (*Id.*; Declaration of Cu and Exhibit A). Defendant Cu asserts that he became aware of the lawsuit on May 23, 2025, when he visited his parents, who he does not reside with. (*Id.*). On June 12, 2025, Defendant Cu attempted to file an answer, but received a rejection of filing based on default being granted. (Declaration of Sabahat, p. 2).

On September 5, 2025, Defendant filed a motion to set aside default judgment stating that he will suffer irreparable harm if default is entered against him given the alleged service defects and having the ability to litigate the case on the merits. (Defendant’s motion, p. 5). Conversely, Defendant asserts that the plaintiff will not suffer prejudice and it will be in the same position prior to the entry of default. (*Id.*). Defendant also asserts that the motion was filed within the required timeframe. (*Id.*).

The motion is unopposed. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

An entry of default was entered by the court clerk on June 9, 2025. Eighty-eight days later on September 5, 2025, Defendant filed a motion to set aside the basic entry of default. Thus, the Court finds that the motion was timely Pursuant to Code of Civil Procedure section 473(b). Given the policy preferring that matters be litigated on the merits, the Court will grant the motion.

#### **IV. CONCLUSION**

Based on the foregoing, and the motion being unopposed, Defendant’s motion to VACATE the basic entry of default entered by the clerk on June 9, 2025 is GRANTED. The Defendant is to file an Answer within 30 days of this hearing date.

The Court will prepare the formal Order.

|                                                       |
|-------------------------------------------------------|
| <b>Calendar Lines # 7</b>                             |
| <b>Case Name</b> Wilder Culma vs Amritpal Singh et al |
| <b>Case No.</b> 25CV466573                            |

### **Motion to Quash Subpoena for Production of Business Records**

#### **I. BACKGROUND**

This personal injury case arises from an August 5, 2024 motor-vehicle incident involving a Santa Clara Valley Transportation Authority (“VTA”) bus that struck the back of a vehicle that Plaintiff Wilder Oyola Culma (“Plaintiff Culma”) was driving in San Jose, California. (“Complaint”). Plaintiff Culma filed a Complaint on May 22, 2025, alleging negligence and seeking general and special damages, wage and loss of earning capacity, cost of suit, and interest on damages. (*Id.*).

On April 22, 2026, Defendant VTA served three deposition subpoenas for production of business records seeking the custodian of records of the Regional Medical Center (“RMC”) of San Jose. The subpoenas are summarized as follows: (1) RMC, located at 225 North Jackson Avenue, San Jose, CA 95116. Scope of records limited to: 01/01/2020 to present only. All documents and records stored in any format or method including, but not limited to, all medical records, intake forms, patient completed forms and/or documents, correspondence, all office records, emergency room records or reports, inpatient and outpatient charts and records, lien files, SOAP notes, pathology records and reports, lab reports, pharmacy and prescription records, physical therapy records, sign-in sheets, all descriptions of exercises prescribed, documentation which indicate date and time of patient's appointments, insurance documents, all radiology reports and readings, and any other documents maintained pertaining to the care, treatment and examination of the patient.” (Plaintiff’s Motion p. 6-7; Exhibit A to Declaration of Jimenez);

(2) RMC, located at 225 North Jackson Avenue, San Jose, CA 95116. Scope of records limited to: 01/01/2020 to present only COPIES of all original x-rays films, CT scans, MRIs and any other scans or images taken and/or maintained, including a comprehensive list of all dates and body parts of all films, CT scans, MRIs and all other images or scans provided. All images and films must be provided on CD if available.” (*Id.*); (3) RMC San Jose Billing, located at 330 North Brand Boulevard, St. 700, Glendale, CA 91203.

Scope of records limited to: 08/05/2024 to present only. Including, but not limited to, any and all billing records of treatment rendered at: Regional Medical Center, San Jose, 225 North Jackson Avenue, San Jose, California 95116 1603. All itemized statements of the billing charges and/or consolidated statement of benefits, with diagnostic and procedure codes including all CPT and ICD-9/ICD-10 coding and all HCFA, UB04 and UB92 bills, to include the total charges private or governmental; any amounts written off by the provider, and any amounts that are the patient's responsibility and explanation of benefits, payment history, records of any liens, any insurance billing or payments information, \*emergency room physicians bills and \*radiology billing from all sources, to include any computer generated billing or billing stored in any format and payment software that contains said information. \*Please note: If Emergency Room (ER) physician billing and/or Radiology billing is maintained by a separate department or third-party billing entity, you are requested to provide the full name, address, phone number, email address, and any additional contact information necessary to facilitate a records request.” (*Id.*, at p. 8; Exhibit A).

On May 14, 2026, Plaintiff Wilder Oyola Culma (“Plaintiff Culma”) filed a motion to quash three separate subpoenas for production of business records directed to the custodian of records of the Reginal Medical Center in San Jose on the grounds that the subpoenas are overbroad, lack probative value, not reasonably calculated to the discovery of admissible evidence; and plaintiff’s privacy rights outweigh any compelling state interest. (Plaintiff’s motion, at p. 2). The motion was accompanied by a proof of service indicating mail service for that same day.

Defendant VTA opposes the motion and filed an opposition on June 2, 2026. Defendant VTA asserts that the accident occurred when the plaintiff abruptly entered the lane in which the VTA bus was traveling and caused the left front side of the bus to make contact with the right rear of the sedan in a low-speed collision. (Defendant’s Opposition, p. 2).

Plaintiff filed a reply brief on June 9, 2026.

The Court carefully reviewed the following: Plaintiff’s notice motion, memorandum of points and authorities in support of the motion, Declaration of Jonathan Jiminez in support of the motion and attached Exhibits A-C; proposed Order; Defendant’s Opposition (totaling 6 pages); Declaration of Paige Yeh in support of the opposition and Exhibits A-C (totaling 51 pages); Notice of Unavailability of Defense counsel (totaling 3 pages)<sup>22</sup>; Plaintiff’s Reply brief (totaling 7 pages); (totaling 102 pages); Separate Statement (totaling 38 pages); Notice of non-receipt of opposition (totaling 4 pages); proof of services; and the pleadings.

## **II. LEGAL STANDARD**

Pursuant to Code of Civil Procedure section 2017.010, “any party may obtain discovery regarding any matter, not privileged, that is relevant to the subject matter involved in the pending action. . . , if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence.”

Code of Civil Procedure section 2020.220(c) provides that:

---

<sup>22</sup> On June 2, 2026, Defense Counsel filed a Notice of Unavailability of defense counsel from June 26, 2026 to July 10, 2026. The Court notes that these dates conflict with when the moving papers, opposition, and reply briefs were filed or the date of the hearing set for June 19, 2026, and is therefore moot at this point.

“(c) Personal service of any deposition subpoena is effective to require all of the following of any deponent who is a resident of California at the time of service

- (1) Personal attendance and testimony, if the subpoena so specifies.
- (2) Any specified production, inspection, testing and sampling....”

Code of Civil Procedure section 1987.1, provides in pertinent part:

“(a) If a subpoena requires the attendance of a witness or the production of books, documents, electronically stored information, or other things before a court, or at the trial of an issue therein, or at the taking of a deposition, the court, upon motion reasonably made by any person described in subdivision (b), or upon the court's own motion after giving counsel notice and an opportunity to be heard, may make an order quashing the subpoena entirely, modifying it, or directing compliance with it upon those terms or conditions as the court shall declare, including protective orders. In addition, the court may make any other order as may be appropriate to protect the person from unreasonable or oppressive demands, including unreasonable violations of the right of privacy of the person.”

Under subdivision (b), the persons who may make a motion under subdivision (a) includes, “(1) A party.” With respect to limiting discovery, the burden is generally on the moving party to establish good cause for the relief requested. (*Emerson Electric Co. v. Superior Court* (1997) 16 Cal.4th 1101, 1110; *Meritplan Insurance Co. v. Superior Court* (1981, 2nd Dist.) 124 Cal.App.3d 237, 242).

### **III. ANALYSIS**

Plaintiff seeks to quash the three deposition subpoenas for production of business records as overbroad as it pertains to Plaintiff’s medical, radiology, billing, pharmacy, insurance and other medical records from January 1, 2020 through the present. (Declaration of Jimenez; Exhibit A). Plaintiff avers that “any and all” records extends far beyond the scope of information reasonably relevant to the injuries claimed by the plaintiff in this action. (Plaintiff’s motion, at p. 5). Plaintiff attempted to resolve the discovery dispute informally and offered to limit the timeframe of the subpoena to five-years and limit the scope of the topic to body parts reasonably related to injuries alleged in the incident. (*Id.*; Declaration of Jimenez, at p. 12; Exhibit B-C).

Defendant SCVTA agreed to limit the scope as to time to a five year period. (Declaration of Jimenez, at p. 12). However, defense requested the scope as to topic include, “issues that could cause or contribute to the alleged injuries: osteoarthritis, rheumatoid arthritis, gout, Complex Regional Pain Syndrome (CRPS), Reflex Sympathetic Dystrophy (RSD), anxiety/depression, neurological issues muscle weakness, obesity, feet issues, hip issues, joint pain, vertigo, dehydration, and hearing issues.” (*Id.*; Exhibit C).

Plaintiff asserts that the records sought are also protected by consumer rights under section 1985.3(g) and 198731. (Plaintiff’s motion, at p. 6). Plaintiff also challenges the scope of the subpoena on the grounds that any compelling state need is outweighed by the plaintiff’s right to privacy under the California Constitution, article I, section 1. (*Id.*, at p. 9). Plaintiff seeks to quash all three subpoenas as overbroad and improperly infringing on the plaintiff’s right to privacy. (*Id.*, at p. 11). In the alternative, the plaintiff seeks an order from the court to narrow the scope.

Defendant argues that its discovery is not overbroad and tailored to respond to assess plaintiff’s claimed injuries. In the plaintiff’s verified form interrogatories served on December 17, 2025, the plaintiff claims injuries arising from the incident to include: traumatic brain injuries, bilateral shoulders, mid/lower back, neck, bilateral elbows, hips and left knee. (Defendant’s Opposition, p. 2.). Plaintiff also claimed to have ongoing pain to his left shoulder, right elbow, left knee, neck, lower back, headaches, dizziness, and tinnitus. (*Id.*). Plaintiff denied having any such injuries at any time prior to the incident, and that he did not have any physical, mental or emotional disabilities immediately prior to the incident. (*Id.*). Defendant VTA asserts that its subpoenas sought records from January 1,

2020 through the present and billing records from the date of the August 5, 2024 incident through the present. (*Id.*; Declaration of Yeh, at p. 2). Defendant asserts that the plaintiff seeks economic and non-economic damages and that under section 996 has waived privilege as to issues concerning the condition of the patient if the issues have been tendered by the patient. (Defendant's Opposition, at p. 4). Defendant asserts that the information is limited, narrowly tailored to five years preceding the subject incident, and relevant to assess any current or medical conditions related to the claim. Defendant reiterates it will limit the scope of the medical subjects to the alleged areas of injuries (i.e., neck, low back, elbows, knees, head), as well as issues that could contribute to the alleged injuries (i.e., osteoarthritis, rheumatoid arthritis, gout, Complex Regional Pain Syndrome (CRPS), Reflex Sympathetic Dystrophy (RSD), anxiety/depression, neurological issues, muscle weakness, obesity, feet issues, hip issues, joint pain, vertigo, dehydration, and hearing issues). (Declaration of Yeh, at p. 2). Defendant asserts that each of the issues is reasonably related to plaintiff's injuries and allows VTA to evaluate the claim. (Defendant's Opposition, at p. 5.).

In plaintiff's reply brief, the plaintiff seeks to exclude records concerning unrelated medication conditions, including but not limited to anxiety, depression, obesity, dehydration, feet issues, unrelated systematic disease, primacy care records, reproductive and sexual health, and unrelated infectious disease records. (Plaintiff's reply, p. 5).

The Court finds that the scope of time is not at issue as parties agree that five years before the August 5, 2024 incident to the present. The Court finds that the plaintiff seeks a broad scope of medical issues and per the Complaint seeks economic and noneconomic damages that may allege emotional distress. The Complaint and parties did not raise issues regarding a loss of consortium. The Court limits the scope of the topic to the neck, lower back, bilateral elbows, bilateral knees, head, as well as issues that could contribute to the alleged injuries i.e., osteoarthritis, rheumatoid arthritis, gout, Complex Regional Pain Syndrome (CRPS), Reflex Sympathetic Dystrophy (RSD), anxiety/depression, neurological issues, muscle weakness, obesity, feet issues, hip issues, joint pain, vertigo, dehydration, and hearing issues. The Court agrees that no issues of reproductive and sexual health is related and should be excluded.

#### **IV. CONCLUSION**

Based on the foregoing, and the plaintiff's motion to quash the three subpoenas is DENIED.

The scope is limited as follows: five years before the August 5, 2024 incident to the present.

The Court limits the scope of the topic to the neck, mid/lower back, bilateral elbows, left knee, head, as well as issues that could contribute to the alleged injuries i.e., osteoarthritis, rheumatoid arthritis, gout, Complex Regional Pain Syndrome (CRPS), Reflex Sympathetic Dystrophy (RSD), anxiety/depression, neurological issues, muscle weakness, obesity, feet issues, hip issues, joint pain, vertigo, dehydration, and hearing issues. The Court agrees that no issues of reproductive and sexual health is related and should be excluded.

The Court will prepare the formal Order.